

Twitter experienced three days in 2016 when its price dropped more than 15 percent and one day where it jumped more than 20 percent. Bitcoin had only two days where its price increased more than 10 percent and only one day where it dropped more than 15 percent. AT&T, the slow and steady line in the middle, is a \$250 billion company that lumbers along with hardly any price movement.

Volatility is most commonly derived by taking the standard deviation of the daily percent price changes. The bigger this number is, the more the investor can expect significant swings in the price of the asset they're holding and therefore, the riskier the asset is. Figure 7.12 shows the standard deviation of the daily percent price changes of bitcoin, Twitter, and AT&T in 2016.

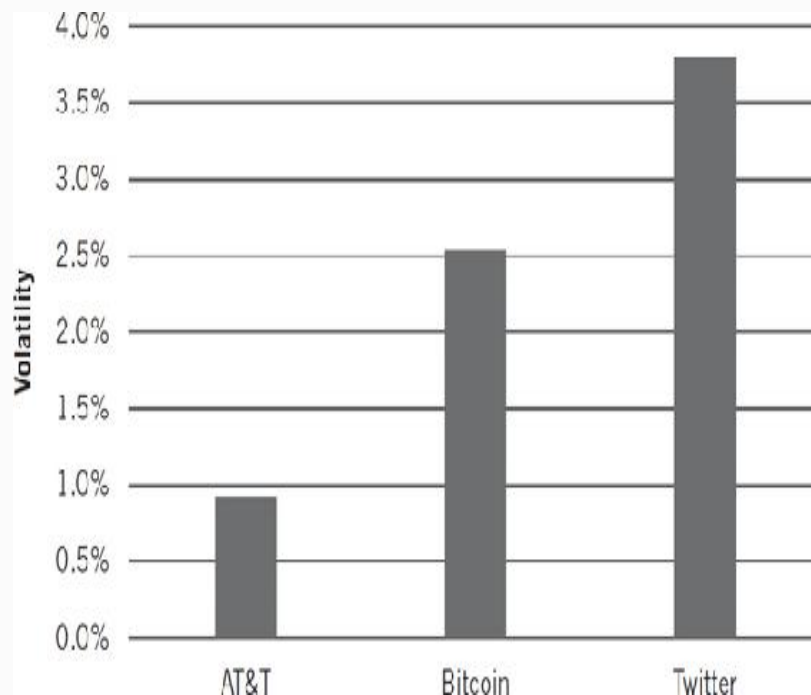


Figure 7.12 ■ Volatility of bitcoin, Twitter, and AT&T in 2016
Data sourced from Bloomberg and CoinDesk